

Prompt 3: read the footnotes

Hertz Global Holdings, annual report for the year ended 31 December 2013, read as it stood in March 2014. Prompt version 2.16, run 4 October 2026. Test output: a real company used for testing only.

1. Policy profile (latest annual report, year ended 31 December 2013; sizes are shares of 2013 pre-tax income of \$663.1m)

Area	What the report says	Where it sits	Why, in a few words	Size
1. Revenue recognition	"recognized over the period the revenue earning equipment is rented or leased" (p. 90)	Typical	General practice for rental; no policy given for loyalty points	Not quantified
2. Reserves and allowances	"relatively minor adjustments to our recorded liability" (p. 45)	Can't tell: not enough disclosed	No roll-forward for the \$347.7m self-insurance reserve; \$30.8m allowance against \$40.3m written off	52%; 4.6%
3. Capitalized costs and useful lives	U.S. rate changes gave "net decreases of \$44.2 million" in depreciation (p. 126)	Leans aggressive	U.S. cars sold at "net losses of \$48.2 million" (p. 126) the same year; depreciation was 14.3% of average cost	6.7%
4. Impairment and goodwill	"no impairment existed" (p. 94)	Can't tell: not enough disclosed	No headroom or assumptions for \$4,697.6m of goodwill and indefinite-lived intangibles	708% (carrying amount)
5. Off the balance sheet	"a percentage of revenue with a guaranteed minimum" (p. 129)	Typical	\$2,727.7m of lease and concession minimums disclosed by year; general practice	411%
6. Related parties	"none of our outstanding debt at December 31, 2013 was with related parties" (p. 148)	Typical	Sponsors sold out in 2013; the company bought 23.2 million of their shares	70% (buy-back)
7. Contingencies	a judgment "could potentially exceed \$40.0 million" (p. 137)	Leans aggressive	Called not material after a ruling for the plaintiffs; above the usual 5% yardstick (general practice); accrual not given	6.0%
8. Auditor's report and controls	controls "effective" (p. 159); errors "would have been material to the fourth quarter" (p. 83)	Leans aggressive	No weakness reported beside \$46.3m of corrected errors	7.0%
9. Adjusted measures	adds back "certain one-time charges" (p. 50)	Leans aggressive	Restructuring added back in all three years shown	74% (all add-backs)

2. Full write-ups

Useful lives and residual values: depreciation was cut while cars sold at a loss

- **The report says:** the U.S. rate cuts were "indicative of the residual values experienced in the U.S.", yet U.S. car disposals show "net losses of \$48.2 million" from "declining residual values" (Note 8, p. 126).
- **Test:** the claim does not hold for 2013: a car sold below book value was depreciated too slowly. Size: 6.7% of pre-tax income (\$44.2m of depreciation saved by the cuts); the disposal loss is 7.3%.
- **Reading:** most likely the reporting stretched: residual values built into depreciation possibly ran ahead of the used-car market. It would be ordinary if the cuts applied only to cars moved to longer holding periods and the losses fell on other cars.
- **Read next:** rate changes and disposal results by quarter, and the first disposal results of 2014.

Adjusted pre-tax income: "one-time" charges that arrive every year

- **The report says:** the measure adds back "certain one-time charges" (Item 7, p. 50), while restructuring ran "During 2007 through 2013" (Item 7, p. 44).

- **Test:** the claim does not hold: restructuring was \$77.0m, \$38.0m and \$56.4m in 2013, 2012 and 2011, and \$645.4m over seven years. Size: 14.9% of pre-tax income (\$98.8m of restructuring and related expense added back); all add-backs are 73.9%.
- **Reading:** most likely the reporting stretched: adjusted pre-tax income after corporate costs is 1.74 times the reported figure, and part of the gap recurs. It would be ordinary if the charges stop once the integration and the headquarters move finish.
- **Read next:** the restructuring note by initiative, and whether the \$40 million to \$45 million of further move costs (p. 65) is added back.

Controls: errors corrected, controls still called effective

- **The report says:** the errors "would have been material to the fourth quarter" (Note 2, p. 83), yet control over financial reporting "was effective as of December 31, 2013" (Item 9A, p. 159).
- **Test:** the figures tie: the listed items sum to \$34.7m for 2012 and earlier, and \$11.6m for nine months of 2013 makes \$46.3m, or 74% of fourth-quarter pre-tax income of \$62.3m. Size: 7.0% of 2013 pre-tax income, cumulative pre-tax errors.
- **Reading:** can't tell. The profile judges the choice to report no weakness; the standards allow it when each year's error is immaterial, so weak controls are not shown. Errors in three unrelated places and a debt requirement "unknowingly not met" (p. 108) possibly point the other way.
- **Read next:** how the errors were found, and whether later filings revise these periods again.

3. Also noted

- The cash flow statement shows a \$45.9m provision for doubtful accounts (p. 80); Schedule II shows \$41.9m (p. 158). The \$4.0m gap possibly matches the "other" in impairment charges: \$44.0m (p. 50) against \$40.0m (p. 80).
- Intangible lives are given as "3 to 10 years" (p. 91) and "two to fifteen years" (p. 93), but two Donlen intangibles run 16 and 20 years (p. 99).
- Selling and administrative expense "increased \$52.6 million" in the discussion (p. 55); the expense table shows \$54.1m (p. 52).
- Vendor incentives had been booked "as a reduction of marketing expenses" (p. 83) and not against the cost of cars; this is the largest corrected error.

4. Not in the documents: critical audit matters (the auditor's report has none), amounts earned but not yet billed, receivables sold or factored, supplier finance, and the proxy statement's related-party detail.

Items to check, not findings. Every figure was calculated in code from the attached documents; the code is available on request.